



**The Keepers
Holdings**

November 14, 2025

Securities and Exchange Commission

7907 Makati Avenue, Salcedo Village,
Bel-Air, Makati City, 1209

Attention: **Mr. Oliver O. Leonardo**
Director, Markets and Securities Regulation Department

Philippine Stock Exchange

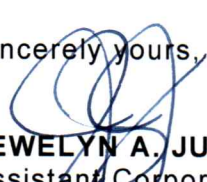
6/F, PSE Tower, 28th Street corner 5th Avenue,
Bonifacio Global City, Taguig City

Attention: **Atty. Johanne Daniel M. Negre**
Head, Disclosure Department

Gentlemen:

For submission is the attached Third Quarterly Report (SEC Form 17-Q) of The Keepers Holdings, Inc. for the year 2025.

Sincerely yours,



JEWELYN A. JUMALON

Assistant Corporate Secretary and
Compliance Officer

COVER SHEET

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SEC Registration Number

THE KEEPERS HOLDINGS, INC.

(Company's Full Name)

NO. 900 ROMUALDEZ ST., PACO, MANILA

(Business Address: No. Street City/Town/Province)

JEWELYN A. JUMALON

(Contact Person)

(63) 917 861 2459

(Company Telephone Number)

1 2

Month

3 1

Day

SEC FORM 17-Q

(Form Type)

0 5

1 3

(Annual Meeting)

(Secondary License Type, If Applicable)

Dept. Requiring this Doc.

Amended Articles Number/Section

Total No. of Stockholders

Total Amount of Borrowing

Domestic

Foreign

SEC Personnel concerned

File Number

LCU

Document ID

Cashier

STAMPS

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES REGULATION CODE AND SRC RULE 17(2) (b) THEREUNDER

1. For the quarterly period ended SEPTEMBER 30, 2025
2. Commission identification number 24015
3. BIR Tax Identification No. 000-282-553
4. Exact name of issuer as specified in its charter THE KEEPERS HOLDINGS, INC.
5. Province, country or other jurisdiction of incorporation or organization PHILIPPINES
6. Industry Classification Code: (SEC Use Only)
7. Address of issuer's principal office No. 900 Romualdez St., Paco, Manila
8. Issuer's telephone number, including area code (02) 523-3055
9. Former name, former address and former fiscal year, if changed since last report
_____.
10. Securities registered pursuant to Sections 8 and 12 of the Code, or Sections 4 and 8 of the RSA

Title of each Class Number of shares of common
stock outstanding and amount of debt outstanding

Common Stock, P0.10

14,508,750,313

11. Are any or all of the securities listed on a Stock Exchange?

Yes ☒ No ☐

If yes, state the name of such Stock Exchange and the class/es of securities listed therein:

Philippine Stock Exchange

Common Stock

12. Indicate by check mark whether the registrant:

- (a) has filed all reports required to be filed by Section 17 of the Code and SRC Rule 17 thereunder or Sections 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of the Corporation Code of the Philippines, during the preceding twelve (12) months (or for such shorter period the registrant was required to file such reports)

Yes ☒ No ☐

- (b) has been subject to such filing requirements for the past ninety (90) days.

Yes ☒ No ☐

FINANCIAL INFORMATION

Management's Discussion and Analysis of Financial Condition and Results of Operations

The following should be read in conjunction with the accompanying unaudited interim consolidated financial statements and notes thereto which form part of this Quarterly Report. These interim consolidated financial statements and notes thereto have been prepared in accordance with Philippine Financial Reporting Standards particularly the Philippine Accounting Standards (PAS) 34, Interim Financial Reporting.

Top Key Performance Indicators

The following are the financial soundness indicators used by the Group as at September 30, 2025 and December 2024 and for the nine-month periods ended September 30, 2025 and 2024:

	September 30, 2025	December 30, 2024
Current Ratio ⁽¹⁾	4.20:1	4.95:1
Asset to Equity Ratio ⁽²⁾	1.23:1	1.19:1
Debt to Equity Ratio ⁽³⁾	0.23:1	0.19:1
Debt to Total Assets Ratio ⁽⁴⁾	0.19:1	0.16:1
Book Value per Share ⁽⁵⁾	P1.25	P1.20

	September 30, 2025	September 30, 2024
Earnings per Share ⁽⁶⁾	P0.17	P0.15
Return on Assets ⁽⁷⁾	11.29%	11.38%
Return on Equity ⁽⁸⁾	13.67%	14.20%

- (1) Current Assets over Current Liabilities
- (2) Total Assets over Total Equity
- (3) Total Liabilities over Total Equity
- (4) Total Liabilities over Total Assets
- (5) Total Equity over Total Common Shares Outstanding
- (6) Net income after tax over Weighted Average Common Shares Outstanding
- (7) Net income after tax over Average Total Assets
- (8) Net income after tax over Average Total Equity

I. Financial Performance

The following table shows the unaudited consolidated statements of comprehensive income for the nine-month periods ended September 30, 2025, and 2024:

<i>(In thousands)</i>	2025	% to Sales	2024	% to Sales	% Change
Net Sales	P13,386,980	100.0%	P11,705,093	100.0%	14.4%
Cost of Sales	9,720,939	72.6%	8,408,067	71.8%	15.6%
Gross Profit	3,666,041	27.4%	3,297,026	28.2%	11.2%
Operating Expenses	1,044,906	7.8%	900,353	7.7%	16.1%
Income from Operations	2,621,135	19.6%	2,396,673	20.5%	9.4%
Share in the net income of joint ventures and an associate	280,548	2.1%	185,681	1.6%	51.1%
Other income-net	54,947	0.4%	71,374	0.6%	(23.0%)
Net Income before tax	2,956,630	22.1%	2,653,728	22.7%	11.4%
Provision for income tax	527,507	3.9%	484,064	4.1%	9.0%
Net Income after tax	P2,429,123	18.2%	P2,169,664	18.6%	12.0%

Net Sales

The Group's consolidated net sales for the nine-month period ended September 30, 2025, amounting to P13.4 billion grew by 14.4% from the P11.7 billion consolidated net sales for the nine-month period ended September 30, 2024. The growth is attributable to the 16% increase in total cases sold during the period. Brandy category remains to be the growth driver which represents the 80% of the group's sales value and 84% of the group's sales volume.

Cost of Sales

The Group's cost of sales increased by 15.6% for the nine-month period ended September 30, 2025. The increase in the gross profit is the result of product sales mix and the effect of the significant increase in foreign exchange rates during the period.

Operating Expenses

Operating expenses amounting to P1.0 billion for the nine-month period ended September 30, 2025, increased by 16.1% as compared to the operating expenses in the same period of 2024 which amounted to P900.4 million. Direct costs, which include advertising and distribution expenses, increased by 10.7% in the current period while other operating expenses increased by 25.2%.

Share in the Net Income of a Joint Venture and an Associate

This is mainly attributable to the share in the net income of Bodegas Williams & Humbert, Cervia Global Trading, Inc. and Pernod Ricard Philippines.

Net Income

The Group's net income for the nine-month period ended September 30, 2025 amounted to P2.4 billion which is 12.0% higher than the net income of P2.2 billion for the nine-month period ended September 30, 2024. About 86.0% of the net income or P2.1 billion was generated from the Group's core operations while the remaining 14.0% or P335.5 million was generated from investing activities.

II. Consolidated Financial Position

The Group's consolidated financial position as at September 30, 2025 and December 31, 2024 are shown below:

<i>(in thousands)</i>	September 30, 2025 (Unaudited)	% to Total Assets	December 31, 2024 (Audited)	% to Total Assets	% Change
Cash and cash equivalents	P6,558,231	29.4%	P4,903,223	23.6%	33.8%
Trade and other receivables – net	1,853,903	8.3%	2,849,451	12.9%	(30.5%)
Inventories	5,204,956	23.4%	5,876,751	28.3%	(11.4%)
Prepaid expenses and other current assets	2,506,258	11.3%	1,361,029	7.5%	84.1%
Total Current Assets	16,123,348	72.4%	14,990,454	72.3%	7.6%
Right-of-use assets – net	245,120	1.1%	44,723	0.2%	448.1%
Property and equipment – net	23,706	0.1%	27,519	0.1%	(13.9%)
Deferred income tax assets – net	6,363	0.0%	6,404	0.0%	(0.6%)
Investments in associate and joint venture	5,813,620	26.1%	5,606,810	27.0%	3.7%
Other noncurrent assets	67,838	0.3%	66,660	0.4%	1.8%
Total Noncurrent Assets	6,156,647	27.6%	5,752,116	27.7%	7.0%
Total Assets	P22,279,995	100.0%	P20,742,570	100.0%	7.4%
Trade and other payables	P3,490,790	15.6%	P2,583,843	12.5%	35.1%
Dividends payable	783	0.0%	532	0.0%	47.1%
Income tax payable	283,183	1.3%	414,203	2.0%	(31.6%)
Lease liabilities – current	60,146	0.3%	30,961	0.1%	94.3%
Total Current Liabilities	3,834,902	17.2%	3,029,539	14.6%	26.6%
Loans Payable	80,000	0.3%	260,000	1.3%	(69.2%)
Retirement benefits liability	33,482	0.2%	30,183	0.1%	10.9%
Lease liabilities - net of current portion	193,156	0.9%	19,593	0.1%	885.9%
Total Noncurrent Liabilities	306,638	1.4%	309,776	1.5%	(1.0%)
Total Liabilities	4,141,540	18.6%	3,339,315	16.1%	24.0%
Capital stock	1,450,875	6.5%	1,450,875	7.0%	0.0%
Additional paid-in capital	25,447,900	114.2%	25,447,900	122.7%	0.0%
Retained earnings	12,015,473	53.9%	11,327,400	54.6%	6.1%
Equity adjustments from common control					
Transactions	(20,848,500)	(93.5%)	(20,848,500)	(100.5%)	0.0%
Accumulated remeasurements on					
retirement benefits	(528)	(0.0%)	(528)	(0.0%)	0.0%
Cumulative translation adjustment	75,433	0.3%	27,500	0.1%	174.3%
Other reserves	(2,198)	(0.0%)	(1,392)	(0.0%)	58.0%
Total Equity	18,138,455	81.4%	17,403,255	83.9%	4.2%
Total Liabilities and Equity	P22,279,995	100.0%	P20,742,570	100.0%	7.4%

Working Capital

As at September 30, 2025 the Group's working capital amounted to P12.3 billion. Current ratios are at 4.20x and 4.95x as of September 30, 2025 and December 31, 2024, respectively.

Current Assets

As at September 30 2025, total current assets amounted to P16.1 billion or 72.4% of total assets.

Cash and cash equivalents amounted to about P6.6 billion as of September 30, 2025 or 29.4% of total assets. The balance increased by 33.8% due to efficiency in the collection receivables.

Trade and other receivables amounted to P1.9 billion as of September 30, 2025 with net decrease of 30.5% from December 31, 2024, balance due to efficiency in collections. The average collection period is 41 days while the credit terms offered to customers is 30 to 60 days.

Inventories amounted to P5.2 billion or 23.4% of total assets as of September 30, 2025. This amount decreased by 11.4% from the balance at the close of December 31, 2024.

Prepaid expenses and other current assets amounted to P2.5 billion as of September 30, 2025. The increase of 84.1% is mainly due to the advance payments for excise tax pertaining to 2025 purchase orders.

Noncurrent Assets

As of September 30, 2025, total noncurrent assets amounted to P6.2 billion or 27.6% of total assets.

Right-of-use assets represent the values recognized from long-term lease contracts covering office and warehouse facilities. As of September 30, 2025, net book value amounted to P245.1 million. It increased significantly from the balance as of December 31, 2024, due to renewal of various warehouse lease contracts.

Property and equipment-net book values amounted to P23.7 million as of September 30, 2025. This account mainly consists of the transportation and delivery equipment as well as leasehold improvements on leased office premises and warehouses.

Investments in joint ventures and an associate amounted to P5.8 billion as of September 30, 2025 or 26.1% of the total assets. This includes the group's 30% acquired equity interest in Pernod Ricard Philippines in February 2019. Investment in joint venture as of September 30, 2025 pertains to the acquisition of the 50% equity interest in Bodegas Williams & Humbert SA on September 14, 2022 and the acquisition of 50% outstanding capital of Cervia Global Trading, Inc. on July 15, 2025. These are accounted using the equity method.

Current Liabilities

As of September 30, 2025 total current liabilities amounted to P3.8 billion equivalent to 17.2% of total assets.

Trade and other payables amounted to P3.5 billion or 15.6% of total assets. This figure pertains to the amounts due to trade and non-trade suppliers, both local and foreign.

Income tax payable amounted to P283.2 million as of September 30, 2025.

Lease liabilities due within the year amounted to P60.1 million, which represents the lease payable for the use of warehouses and offices.

Noncurrent Liabilities

As of September 30, 2025, total non-current liabilities amounted to P306.6 million.

Lease liabilities net of current portion payable for the succeeding year until the end of the lease agreements on the use of warehouses and offices amounted to P193.2 million.

Retirement benefit liability represents the present value of the defined benefits retirement obligations amounted to P33.5 million as of September 30, 2025, covering all regular employees.

Equity

As of September 30, 2025 total equity amounted to P18.1 billion or 81.4% of total assets.

Capital stock amounted to P1.45 billion as of September 30, 2025, and December 31, 2024.

Additional paid in capital amounted to P25.4 billion of which, P21.3 billion resulted from the recognition of the difference between the fair market values of the three liquor distribution companies, namely Montosco, Inc., Meritus Prime Distributions, Inc. and Premier Wine and Spirits, Inc. based on an independent valuation and the par value of the 11.250 billion new shares issued by the Company in favor of Cosco Capital pursuant to the share swap transaction between the Company and Cosco, net of P46.8 million pertaining to shares issuance costs.

The balance also includes additional paid in capital from the follow-on offering of 3,000,000,000 primary shares amounting to P4.1 billion, net of the share issuance cost of P126.3 million.

Retained earnings amounted to P12.0 billion represents the aggregated retained earnings of the Company and the subsidiaries as of September 30, 2025 net of cash dividend declarations.

Equity adjustments from common control transactions amounting to P20.8 billion represents the difference between the fair market values and the carrying values of the net assets of the three liquor distribution companies recognized in accordance with existing international accounting standards and guidance on consolidation of companies under common control.

III. Sources and Uses of Cash

The Group's primary sources of liquidity are basically its net operating cash inflows augmented by the availment from bank loan facilities as and when required.

A brief summary of the consolidated cash flows during the comparative periods are shown below:

For the nine-month periods ended September 30		
<i>(In thousands)</i>	2025	2024
Net cash from (used) operating activities	P3,668,583	P2,194,517
Net cash from (used) in investing activities	(30,017)	(225,473)
Net cash used in financing activities	(1,986,754)	(2,340,508)
Effect of exchange rate changes	3,196	(7,014)
Net increase (decrease) in cash and cash equivalents	P1,655,008	(P378,478)

Net cash from the operating activities during the current period is basically attributable to the net effect of the increase in sales, collection of trade receivables, settlement of trade payable accounts, purchase of additional inventory requirements and other related current operating requirements.

Net cash used in investing activities mainly pertains to the funds used for additional leasehold improvements and investment in joint a venture.

Net cash used in financing activities in the current period is primarily due to payment of loans, interest, leases and dividends.

IV. Material Events and Uncertainties

There are no known trends or any known demands, commitments, events or uncertainties that will result in or that are reasonably likely to result in the Group's liquidity increasing or decreasing in any material way.

There are no events that will trigger direct or contingent financial obligation that is material to the Group, including any default or acceleration of an obligation;

There are no material off-balance sheet transactions, arrangements, obligations (including contingent obligations), and other relationships of the Group with unconsolidated entities or other persons created during the year.

There are no material commitments for capital expenditures other than those performed in the ordinary course of trade of business in line with the Group's expansion program.

There are no known trends, events or uncertainties that have had or that are reasonably expected to have a material impact on the revenues or income from continuing operations.

There are no significant elements of income not arising from continuing operations.

The Group experiences the fourth quarter of the year as the peak season relating to increased sales resulting from Christmas and New Year holidays.

SIGNATURES

Pursuant to the requirements of the Securities and Regulation Code, the issuer has duly caused this Third Quarterly Financial Statement of The Keepers Holdings, Inc. and its subsidiaries for the year 2025 to be signed on its behalf by the undersigned thereunto duly authorized.

November 14, 2025 in the City of Manila

THE KEEPERS HOLDINGS, INC.

By: 

JOSE PAULINO L. SANTAMARINA
President


IMELDA D. LACAP
Comptroller

THE KEEPERS HOLDINGS, INC. AND SUBSIDIARIES

INTERIM CONSOLIDATED FINANCIAL STATEMENTS
September 30, 2025 and December 31, 2024

THE KEEPERS HOLDINGS, INC. AND SUBSIDIARIES
INTERIM CONSOLIDATED STATEMENTS OF FINANCIAL POSITION
(In Thousands)

		September 30, 2025	December 31, 2024
	Note	(Unaudited)	(Audited)
ASSETS			
Current Assets			
Cash and cash equivalents	5, 23	P6,558,231	P4,903,223
Trade and other receivables - net	6, 23	1,853,903	2,849,451
Inventories	7	5,204,956	5,876,751
Prepaid expenses and other current assets	8	2,506,258	1,361,029
Total Current Assets		16,123,348	14,990,454
Noncurrent Assets			
Right-of-use assets - net	19	245,120	44,723
Property and equipment - net	9	23,706	27,519
Deferred income tax assets - net		6,363	6,404
Investments in joint ventures and an associate	10	5,813,620	5,606,810
Other noncurrent assets	11, 19, 23	67,838	66,660
Total Noncurrent Assets		6,156,647	5,752,116
		P22,279,995	P20,742,570
LIABILITIES AND EQUITY			
Current Liabilities			
Trade and other payables	12, 23	P3,490,790	P2,583,843
Dividends payable	15, 23	783	532
Income tax payable		283,183	414,203
Lease liabilities - current	19, 23	60,146	30,961
Total Current Liabilities		3,834,902	3,029,539
Noncurrent Liabilities			
Loans payable	13	80,000	260,000
Retirement benefits liability	20	33,482	30,183
Lease liabilities - net of current portion	19, 23	193,156	19,593
Total Noncurrent Liabilities		306,638	309,776
Total Liabilities		4,141,540	3,339,315
Equity			
Capital stock	15	1,450,875	1,450,875
Additional paid-in capital	15	25,447,900	25,447,900
Retained earnings	15	12,015,473	11,327,400
Equity adjustments from common control transactions		(20,848,500)	(20,848,500)
Accumulated remeasurements on retirement benefits	20	(528)	(528)
Cumulative translation adjustment		75,433	27,500
Other reserves		(2,198)	(1,392)
Total Equity		18,138,455	17,403,255
		P22,279,995	P20,742,570

See Notes to Consolidated Financial Statements.

THE KEEPERS HOLDINGS, INC. AND SUBSIDIARIES
UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME
(In Thousands, Except Per Share Data)

		Three-Month Period Ended September 30		Nine-Month Period Ended September 30	
	<i>Note</i>	2025	2024	2025	2024
NET SALES		P4,351,630	P3,986,463	P13,386,980	P 11,705,093
COST OF GOODS SOLD	16	3,092,555	2,844,454	9,720,939	8,408,067
GROSS PROFIT		1,259,075	1,142,009	3,666,041	3,297,026
OPERATING EXPENSES	17	352,408	332,904	1,044,906	900,353
INCOME FROM OPERATIONS		906,667	809,105	2,621,135	2,396,673
SHARE IN NET INCOME OF JOINT VENTURES AND AN ASSOCIATE	10	52,552	77,359	280,548	185,681
OTHER INCOME - Net	18	31,523	21,255	54,947	71,374
INCOME BEFORE INCOME TAX		990,742	907,719	2,956,630	2,653,728
PROVISION FOR INCOME TAX	21	183,129	164,273	527,507	484,064
NET INCOME		P807,613	P743,446	P2,429,123	P 2,169,664
BASIC AND DILUTED EARNINGS PER SHARE	22	P0.06	P0.05	P0.17	P0.15

See Notes to Consolidated Financial Statements.

THE KEEPERS HOLDINGS, INC. AND SUBSIDIARIES
UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF CHANGES IN EQUITY
(In Thousands)

	Nine-Month Period Ended September 30		
	Note	2025	2024
CAPITAL STOCK			
Balance at beginning and end of the nine-month period	15	P1,450,875	P1,450,875
ADDITIONAL PAID-IN CAPITAL			
Balance at beginning and end of the nine-month period	15	25,447,900	25,447,900
RETAINED EARNINGS			
Balance at beginning of the nine-month period		11,327,400	9,239,428
Net income for the nine-month period		2,429,123	2,169,664
Dividend declaration during the nine-month period	15	(1,741,050)	(1,450,874)
Balance at end of nine-month period		12,015,473	9,958,218
EQUITY ADJUSTMENTS FROM COMMON CONTROL TRANSACTIONS			
Balance at beginning and end of the nine-month period		(20,848,500)	(20,848,500)
ACCUMULATED REMEASUREMENTS ON RETIREMENT BENEFITS			
Balance at beginning and end of the nine-month period	20	(528)	428
CUMULATIVE TRANSLATION ADJUSTMENT			
Balance at beginning and end of nine-month period		27,500	2,323
Foreign currency translation adjustment during the nine-month period		47,933	16,431
Balance at end of nine-month period	10	75,433	18,754
OTHER RESERVES			
Balance at beginning of the nine-month period		(1,392)	(1,806)
Share in other comprehensive income of an associate during the nine-month period		(806)	414
Balance at end of nine-month period	10	(2,198)	(1,392)
		P18,138,455	P16,026,283

See Notes to Consolidated Financial Statements.

THE KEEPERS HOLDINGS, INC. AND SUBSIDIARIES
UNAUDITED INTERIM CONSOLIDATED STATEMENTS OF CASH FLOWS
(In Thousands)

		Nine-Month Period Ended September 30	
	Note	2025	2024
CASH FLOWS FROM OPERATING ACTIVITIES			
Income before income tax		P 2,956,630	P 2,653,728
Adjustments for:			
Share in net income of joint ventures and an associate	10	(280,548)	(185,681)
Depreciation and amortization	9, 17, 19	62,291	57,251
Interest income	5, 18	(175,117)	(72,155)
Unrealized foreign exchange losses - net		34,908	6,851
Interest expense	13, 18, 19	16,729	3,022
Retirement benefit costs	20	3,298	2,686
Operating income before working capital changes		2,618,191	2,465,702
Decrease (increase) in:			
Trade and other receivables		963,921	1,172,753
Inventories		671,796	(677,423)
Prepaid expenses and other current assets		(1,145,228)	(877,632)
Increase in trade and other payables		1,043,272	575,669
Cash generated from operations		4,151,952	2,659,069
Income taxes paid		(658,486)	(536,340)
Interest received	5, 18	175,117	72,155
Retirement benefits paid		0	(367)
Net cash from operating activities		3,668,583	2,194,517
CASH FLOWS FROM INVESTING ACTIVITIES			
Additions to property and equipment	9	(6,901)	(10,018)
Acquisition of investment in an associate and joint ventures	10	(40,000)	(225,000)
Decrease (Additions) to other noncurrent assets		16,884	9,545
Net cash used in investing activities		(30,017)	(225,473)

Forward

Nine-Month Period Ended September 30			
	Note	2025	2024
CASH FLOWS FROM FINANCING ACTIVITIES			
Proceeds (payments) of:			
Dividends	15	(1,740,799)	(2,568,049)
Lease liabilities - principal portion	19	(49,226)	(49,437)
Loans payable	13	(180,000)	280,000
Interest	13,19	(16,729)	(3,022)
Net cash used in financing activities		(1,986,754)	(2,340,508)
EFFECT OF EXCHANGE RATE CHANGES ON CASH AND CASH EQUIVALENTS			
		3,196	(7,014)
NET INCREASE (DECREASE) IN CASH AND CASH EQUIVALENTS			
		1,655,008	(378,478)
CASH AND CASH EQUIVALENTS AT BEGINNING OF THE NINE-MONTH PERIOD			
		4,903,223	2,897,269
CASH AND CASH EQUIVALENTS AT END OF THE NINE-MONTH PERIOD			
	5	P 6,558,231	P 2,518,791

See Notes to Consolidated Financial Statements.

THE KEEPERS HOLDINGS, INC. AND SUBSIDIARIES
NOTES TO INTERIM CONSOLIDATED FINANCIAL STATEMENTS
(Amounts in Thousands, Except Par Value,
Per Share Data and Number of Shares)

1. Reporting Entity

The Keepers Holdings, Inc. (the “Parent Company” or “TKHI”) was incorporated and registered with the Philippine Securities and Exchange Commission (SEC) on November 5, 1963, and its shares are listed in the Philippine Stock Exchange (PSE) on September 3, 1991. On June 30, 2021, the SEC approved the amendments to certain sections of the Parent Company’s Articles of Incorporation which include the extension of its corporate life into perpetual existence.

The principal activities of the Parent Company are to invest in, purchase, or otherwise acquire and own, hold, use, sell, assign, transfer, mortgage, pledge, exchange or otherwise dispose of real and personal property of every kind and description, including shares of stocks, bonds, debentures, notes, evidence of indebtedness and other securities or obligations of any corporation or corporations, association or associations, domestic or foreign, for whatever lawful purpose or purposes the same may have been organized and to pay therefore in money or by exchanging shares of stocks of the Parent Company or any other corporation, while the owner or holder of any such real or personal property, stocks, bonds, debentures, contracts or obligations, to receive, collect and dispose of the interest, dividends and income arising from such property; and to possess and exercise in respect thereof all the rights, powers and privileges of ownership, including all voting powers of any stock so owned; to carry on and manage the general business of any company.

The Parent Company operates as a holding company of the following subsidiaries, joint ventures and associate (collectively referred to as “the Group”) as at September 30, 2025:

Entity	Place of Incorporation	Percentage of Ownership	
		Direct	Indirect
Montosco, Inc. (MI)	Philippines	100%	-
Meritus Prime Distribution, Inc. (MPDI)	Philippines	100%	-
Premier Wine and Spirits, Inc. (PWSI)	Philippines	100%	-
Fertuna Distributions, Inc. (FDI) ^(a)	Philippines	100%	-
Upfront Distributions Corp. (UDC) ^(b)	Philippines	100%	-
Pernod Ricard Philippines, Inc. (Pernod)	Philippines	-	30%
Cervia Global Trading Inc. (Cervia) ^(c)	Philippines	50%	-
Bodegas Williams and Humbert SA (Bodegas)	Spain	50%	-

^(a) Commercial operations started in April 2023

^(b) Newly incorporated in 2024.

^(c) Acquired on July 15, 2025

MI, MPDI, PWSI and FDI are incorporated and registered with the Philippine SEC on August 13, 2008, February 17, 2010, June 19, 1996 and December 13, 2022, respectively. The subsidiaries engage primarily in buying, selling, importing, manufacturing, repackaging, preparing, bottling, and distribution on wholesale of all kinds of wines, spirits, liquors, beers and other alcoholic and non-alcoholic beverages and drinks.

UDC was incorporated and registered with the Philippine SEC on May 10, 2024. The principal activity of the Company is to carry on the business of buying, selling, distributing, marketing on wholesale and retail basis insofar as may be permitted by law, all kinds of goods, wares, merchandise of every kind and description, and to enter into all kinds of contracts for export, import purchase, acquisition sale on wholesale and retail basis. The Company started commercial operations in December 2024.

MI, MPSI, PWSI, FDI and UDC are collectively referred to as “the Subsidiaries”.

Additional information on the joint ventures and an associate is disclosed in Note 10 of the consolidated financial statements.

As at September 30, 2025 and December 31, 2024, the Parent Company is 77.54%-owned by Cosco Capital, Inc. (Cosco), a company incorporated in the Philippines. As at September 30, 2025 and December 31, 2024, Cosco is the immediate and ultimate parent of the Group.

The Group’s respective registered office address and principal place of business are presented below:

Registered Office and Principal Place of Business	
TKHI	No. 900 Romualdez Street, Paco, Manila
MI	1501 Federal Tower, Dasmariñas Street, Binondo, Manila
MPDI	704 Federal Tower, Dasmariñas Street, Binondo, Manila
PWSI	Gate 1, Tabacalera Compound, 900 D. Romualdez Street, Paco, Manila
FDI	1204 Federal Tower, Dasmariñas Street, San Nicolas, Manila
UDC	701 Federal Tower, Dasmariñas Street, San Nicolas, Manila
	Units 509-P & 510-P Five E-com Center, Pacific Drive Extension,
Pernod	Mall of Asia Complex, Pasay City
Cervia	G/F JM Bldg. 1, Pres Sergio Osmena Highway Cor. Rockefeller St., San Isidro, Makati City
Bodegas	Ctra Nacional IV Km 641, 11408 Jerez De La Frontera, Spain

2. Basis of Preparation

Statement of Compliance

The interim consolidated financial statements of the Group as of September 30, 2025 and for the nine- month periods ended September 30, 2025, and 2024 have been prepared in compliance with the Philippine Accounting Standard (“PAS”) 34, *Interim Financial Reporting*. They do not include all the information required in the annual financial statements and should be read in conjunction with the Group’s audited consolidated financial statements as of and for the years ended December 31, 2024 and 2023.

Basis of Measurement

The interim consolidated financial statements have been prepared on a historical cost basis of accounting except for retirement benefits liability which is measured at the present value of the defined benefits obligation.

Basis of Consolidation

The interim consolidated financial statements include the accounts of the Parent Company, the Subsidiaries and the Group’s interests in the joint ventures and an associate accounted for under the equity method of accounting. Subsidiaries are fully consolidated from the date that control commences until the date that control ceases.

A change in interest in ownership of a subsidiary, without a loss of control, is accounted for as an equity transaction.

The interim financial statements of the liquor entities are prepared for the same financial reporting period as the Parent Company, using uniform accounting policies for like transactions and other events in similar circumstances.

All intra-group balances, transactions, income, and expenses resulting from intra-group transactions are eliminated in full.

Functional and Presentation Currency

The interim consolidated financial statements are measured using the currency of the primary economic environment in which the Group operates. The interim financial statements are presented in Philippine peso, which is also the Parent Company's functional currency. All amounts are rounded to the nearest thousand, except par value, per share data, number of shares and when otherwise indicated.

Authorization for Issuance of the Interim Consolidated Financial Statements

The accompanying interim consolidated financial statements of the Group as at September 30, 2025 were approved and authorized for issuance by the Group's BOD on November 11, 2025.

3. Summary of Material Accounting Policies

The accounting policies used in the preparation of the interim consolidated financial statements are consistent with those applied in the most recent audited consolidated financial statements as of and for the year ended December 31, 2024, except for the following changes in accounting policies.

Adoption of Amendments to Standards Effective January 1, 2025

- PAS 21, *The Effects of Changes in Foreign Exchange Rates – Lack of Exchangeability (Amendments)* clarify that a currency is exchangeable into another currency when a company is able to obtain the other currency within a time frame that allows for a normal administrative delay and through a market or exchange mechanism in which an exchange transaction would create enforceable rights and obligations.

When a currency is not exchangeable, a company needs to estimate a spot rate. The objective in estimating the spot rate is to reflect the rate at which an orderly exchange transaction would take place at the measurement date between market participants under prevailing economic conditions. The amendments do not specify how to estimate the spot exchange rate to meet the objective and an entity can use an observable exchange rate without adjustment or another estimation technique.

The amendments require new disclosures to help users assess the impact of using an estimated exchange rate on the financial statements, including the nature and financial impacts of the currency not being exchangeable, the spot exchange rate used, the estimation process and risks to the company because the currency is not exchangeable.

4. Management's Use of Judgments, Accounting Estimates and Assumptions

The preparation of the interim consolidated financial statements requires management to exercise judgments, make accounting estimates and use assumptions that affect reported amounts of assets, liabilities, income and expenses and related disclosures. Future events may occur which will cause the assumptions used in arriving at the accounting estimates to change. The effects of any change in accounting estimates are reflected in the consolidated financial statements as they become reasonably determinable.

Accounting judgments, estimates and assumptions are continually evaluated and are based on historical experience and other factors including expectations of future events that are believed to be reasonable under the circumstances. The judgments, estimates and assumptions applied on the interim financial statements of the Group are the same as those applied on its most recent annual consolidated financial reports as of and for the year ended December 31, 2024.

5. Cash and Cash Equivalents

This account consists of:

	Note	September 30, 2025	December 31, 2024
Cash on hand		P2,234	P2,283
Cash in banks	23	1,339,561	1,620,841
Cash equivalents	23	5,216,436	3,280,099
		P6,558,231	P4,903,223

Cash in banks earns interest at the respective bank deposit rates. Interest income earned from cash in banks which are recognized in profit or loss amounted to P771 and P579 for the nine-month period ended September 30, 2025 and 2024, respectively (see Note 18).

Cash equivalents pertain to short-term placements and earn interest at the prevailing short-term investment rates. Interest income earned from cash equivalents which are recognized in profit or loss amounted to P174,346 and P71,576 for the nine-month period ended September 30, 2025 and 2024, respectively (see Note 18).

6. Trade and Other Receivables

This account consists of:

	Note	September 30, 2025	December 31, 2024
Trade:			
Third parties		P844,230	P1,795,960
Related parties	15	765,612	783,100
Allowance for ECLs		(2,621)	(2,621)
		1,607,221	2,576,439
Dividend receivable	15	183,789	181,410
Nontrade:			
Third parties		61,325	88,730
Related parties	15	1,568	2,872
		246,682	273,012
	25	P1,853,903	P2,849,451

Trade receivables are non-interest-bearing and are generally on a 30-to-60-day credit terms.

Nontrade receivables include receivables from suppliers for the reimbursements of expenses incurred by the Group for brand promotions. These are non-interest-bearing and are generally on a 30-day credit terms.

ECLs on third party trade receivables on September 30, 2025 and December 31, 2024 is at P2,621.

7. Inventories

This account consists of:

	Note	September 30, 2025	December 31 2024
At landed cost (on hand):			
Spirits		P3,052,442	P4,349,257
Wines		390,382	330,105
Specialty beverages		88,267	89,893
Others		611	175
At invoice cost (in-transit):			
Spirits		1,648,741	1,092,392
Others		24,513	14,929
	17	P5,204,956	P5,876,751

Cost of inventories charged to "Cost of goods sold" amounted to P9,720,939 and P8,408,067 for the nine-month period ended September 30, 2025 and 2024, respectively (see Note 16).

For the nine-month periods ended September 30, 2025 and 2024, no inventories were written down to their NRV.

8. Prepaid Expenses and Other Current Assets

This account consists of:

	September 30, 2025	December 31, 2024
Prepaid duties and taxes	P2,270,400	P984,989
Advances to suppliers	169,064	347,129
Input VAT	2,433	3,292
Prepaid import charges	3,795	2,647
Other prepaid expenses	60,566	22,972
	P2,506,258	P1,361,029

Prepaid duties and taxes include advance payment for excise taxes, customs duties and seals for purchased goods not yet received.

Advances to suppliers pertain to partial down payments made by the Group to suppliers which will be applied against future billings.

9. Property and Equipment

The movements and balances in this account are as follows:

	Transportation and Delivery Equipment	Leasehold Improvements	Office Equipment	Furniture and Fixtures	Computer Software License	Machinery and Equipment	Total
Cost							
January 1, 2023	51,929	30,760	10,268	3,996	4,621	1,299	102,873
Additions	9,574	335	1,846	-	4,961	18	16,734
Disposals	(3,684)	-	(109)	-	-	-	(3,793)
December 31, 2023	57,819	31,095	12,005	3,996	9,582	1,317	115,814
Additions	8,070	2,571	1,779	410	2,201	33	15,064
Disposals	(50)	-	-	-	-	-	(50)
December 31, 2024	65,839	33,666	13,784	4,406	11,783	1,350	130,828
Additions	-	219	2,555	145	1,041	2,941	6,901
Disposals	-	-	-	-	-	-	-
September 30, 2025	65,839	33,885	16,339	4,551	12,824	4,291	137,729
Accumulated Depreciation and Amortization							
January 1, 2023	35,264	21,837	8,850	3,970	2,923	1,241	74,085
Depreciation and amortization	7,048	5,458	1,525	16	2,476	38	16,561
Disposals	(3,684)	-	(109)	-	-	-	(3,793)
December 31, 2023	38,628	27,295	10,266	3,986	5,399	1,279	86,853
Depreciation and amortization	7,306	3,224	1,864	37	4,044	31	16,506
Disposals	(50)	-	-	-	-	-	(50)
December 31, 2024	45,884	30,519	12,130	4,023	9,443	1,310	103,309
Depreciation and amortization	5,271	1,342	1,188	180	2,068	665	10,714
Disposals	-	-	-	-	-	-	-
September 30, 2025	51,155	31,861	13,318	4,203	11,511	1,975	114,023
Net Book Value							
December 31, 2024	P19,955	P3,147	P1,654	P383	P2,340	P40	P27,519
September 30, 2025	P14,684	P2,024	P3,021	P348	P1,311	P2,317	P23,706

Depreciation and amortization expense for the nine-month period ended September 30, 2025 and 2024 was charged as part of “Operating Expenses” in profit or loss (Note 17).

10. Investments in a Joint Venture and an Associate

The details of this account are as follows:

	September 30, 2025	December 31, 2024
Joint venture	P5,419,641	P5,238,946
Associate	393,979	367,864
	P5,813,620	P5,606,810

Investment in Joint Venture

On September 14, 2022, the Parent entered into a Share Purchase Agreement to acquire 50% interest or 646,775 shares of Bodegas Williams & Humbert SA (“Bodegas”) with a par value of €32 at €137.22 per share for €88,750 (equivalent to P5,062,512).

On such date, the Parent entered into a Shareholders' Agreement with Medina Portfolio, S.L.U., the owner of the remaining 50% shares of Bodegas, to regulate the joint ownership of Bodegas and joint participation of its governing bodies.

Bodegas was incorporated on October 11, 1974 under the name Luis Páez, S.A. It adopted its present name at an ordinary and extraordinary General Meeting of Shareholders held on June 22, 2004. Its principal place of business is at Carretera Nacional IV, km. 641.75, Jerez de la Frontera, Cádiz, Spain. Bodegas is engaged in all types of agricultural cultivation and operations, the import, export, acquisition, transformation, storage, packaging, industrialization, representation, sale and exploitation of all types of foodstuff and agricultural product and the manufacture of packaging for such products. It is also engaged in the preparation, production, manipulation, representation and wholesale or retail marketing, in Spain or abroad, of all types of food products, in particular alcoholic or non-alcoholic drinks and the distribution of said products.

The Group had initially prepared a provisional purchase price allocation in 2022. In 2023, the Group had finalized the amounts disclosed for the fair value of the purchased assets of Bodegas, including the recognition of goodwill.

The investment is accounted for using the equity method.

The following table summarizes the financial information of Bodegas, adjusted for fair value adjustments at acquisition and shows the reconciliation of the Group's share in net assets of such investee to the carrying amount of its investment as at September 30, 2025 and December 31, 2024:

	September 30, 2025	December 31, 2024
Balance at beginning of year	P5,238,946	P5,070,846
Share in net income, as adjusted	254,148	332,613
Dividends	(160,866)	(189,690)
Foreign currency translation adjustment	47,934	25,177
Balance at end of period	P5,380,162	P5,238,946

	September 30, 2025	December 31, 2024
Percentage Ownership Interest	50%	50%
Current assets	P7,475,085	P5,596,102
Noncurrent assets	2,133,370	2,155,530
Current liabilities	3,524,786	1,725,113
Noncurrent liabilities	145,071	211,891
Net Assets, As Recognized in the Financial Statements of Bodegas	5,938,598	5,814,628
TKHI's share of net assets	2,969,299	2,907,314
Goodwill	1,996,128	1,996,128
Excess of fair value over carrying amounts	477,225	514,972
Cumulative unrealized gross profit on unsold inventories	(235,420)	(227,092)
Foreign exchange differences	97,497	20,124
Cumulative translation adjustment	75,433	27,500
Carrying Amount of Investment in Joint Venture	P5,380,162	P5,238,946

The following table shows the Group's share in net income of the investee for the nine-month period ended September 30:

	2025	2024
Revenue	P6,365,234	P 6,991,471
Net income for the nine-month period	600,450	542,429
The Group's share in net income at 50%, as recognized in the financial statements of Bodegas	P300,225	P271,215
Depreciation of excess fair value at 50%	(37,748)	(33,496)
Unrealized gross profit on unsold inventories	(8,329)	(44,556)
	P254,148	P193,163

On July 15, 2025, TKHI entered into a Share Purchase Agreement with Cervia Global Trading, Inc. to acquire 50% interest or 125,000 shares of Cervia for P40,000.

Cervia is a domestic corporation behind the Filipino liquor brand "SULA". It has been focusing on the production of premium local alcohols that mainly use raw materials from the Philippines. The entity aims not just to cater the locals but to bring their brand to the international market.

The investment is accounted for using the equity method.

The following table summarizes the financial information of Cervia adjusted for fair value adjustments at acquisition and shows the reconciliation of the Group's share in net assets of such investee to the carrying amount of its investment as at September 30, 2025:

	September 30, 2025
Purchase Price, July 15, 2025	P40,000
Share in net income, as adjusted	(521)
Balance at end of period	P39,479

	September 30, 2025
Percentage Ownership Interest	50%
Current assets	P22,293
Noncurrent assets	819
Current liabilities	22,843
Net Assets, As Recognized in the Financial Statements of Cervia	269
TKHI's share of net assets	135
Goodwill	39,741
Carrying Amount of Investment in Joint Venture	P39,876

The following table shows the Group's share in net income of the investee for the nine-month period ended September 30:

	2025
Revenue	P6,722
Net income (loss) for the nine-month period	(1,042)
The Group's share in net income at 50%, as recognized in the financial statements of Cervia	(P521)

Investment in Associate

PWSI entered into a Shareholders' Agreement and a Share Purchase Agreement with Pernod Ricard Asia S.A.S and Allied Netherlands B.V. for the purchase of the shares of stocks of Pernod Ricards Philippines, Inc. (Pernod) for EURO 2.10 million (equivalent to P126,957) in February 2019.

On September 11, 2024, the directors and stockholders of Pernod approved the increase in the Corporation's authorized capital stock from P500,000,000 divided into 5,000,000 with a par value of P100.00 to P1,250,000,000 divided into 12,500,000 shares with a par value of P100.00. On the same date, PWSI's share in capital stock from 946,875 shares to 2,250,000 shares was also approved.

As at September 30, 2025 and December 31, 2024, PWSI owns 30% of Pernod shares.

Pernod wholesales and distributes distilled spirits. Pernod offers neutral spirits and ethyl alcohol used in blended wines and distilled liquors. Pernod serves customers throughout the world. Its principal address is at 4-C Palm Coast Avenue One E-com Center Building, Pasay City, 1300.

The financial year end date of Pernod is June 30. This is the reporting date established on the articles of incorporation of the associate. This is also the reporting date adopted by its parent company, Pernod Ricard Asia S.A.S. and its ultimate parent company, Pernod Ricard S.A.

The following table summarizes the financial information of Pernod and shows the reconciliation of the Group's share in net assets of such investee to the carrying amounts of its investment as at September 30, 2025 and December 31, 2024:

	September 30, 2025	December 31, 2024
Balance at beginning of year	P367,864	P143,687
Additional investment	-	225,000
Share in net income (loss)	26,920	(1,237)
Share in other comprehensive income	(806)	414
Balance at end of year	P393,978	P367,864

	September 30, 2025	December 31, 2024
Percentage Ownership Interest	30%	30%
Current assets	P1,674,937	P1,703,210
Noncurrent assets	224,107	226,303
Current liabilities	588,199	707,581
Noncurrent liabilities	42,485	40,621
Net Assets	1,268,360	1,181,311
PWSI's share of net assets	380,508	354,393
Goodwill	13,471	13,471
	393,979	P367,864

The following table shows the Group's share in net income (loss) of investee for the nine-month period ended September 30:

	2025	2024
Revenue	P1,220,932	P1,119,394
Net income (loss) for the nine-month period	89,736	(24,939)
The Group's share in net income (loss) at 30%	26,921	(P7,482)
Other Comprehensive Loss	2,689	-
The Group's share in other comprehensive loss at 30%	806	-

11. Other Noncurrent Assets

This account consists of:

	Note	September 30, 2025	December 31, 2024
Excess tax credits		P29,695	P29,695
Refundable deposits	19, 23	19,435	19,611
Input VAT		11,360	10,308
Trademark		7,000	7,000
Others		348	46
		P67,838	P66,660

Excess tax credits pertain to prepaid taxes carried over from previous taxable years.

Trademark arise from the acquisition of cocktail mixer brand, "Island Mixers" acquired by MI on January 30, 2023. The Group believes that there is currently no foreseeable limit to the period over which the trademark is expected to generate net cash inflows and therefore is assessed to have an indefinite useful life.

12. Trade and Other Payables

This account consists of:

	Note	September 30, 2025	December 31, 2024
Trade payables:			
Related parties	14	P2,629,856	P1,400,616
Third parties		204,614	162,824
Non-trade payables:			
Third parties		372,046	462,562
Related parties	14	37,898	40,911
Statutory obligations		144,479	440,590
Accrued expenses		94,206	73,749
Advances from customers		7,691	2,591
	23	P3,490,790	P2,583,843

Trade payables are unsecured, non-interest-bearing and are generally on a 30-to-60-day payment terms.

Non-trade payables are amounts owed to non-trade suppliers such as manpower agencies, freight companies and other non-trade payment transactions. These are non-interest-bearing and are generally on a 30-day payment terms.

Advances from customers consist of amounts paid by the customers in which inventories were not yet delivered by the Group.

Accrued expenses consist of accruals for utilities, advertisement and other operating expense.

13. Loans Payable

The movements and balances in loans payable are as follows:

	Note	September 30, 2025	December 31, 2024
Balances at beginning of year		P260,000	P -
Availment of loan		-	280,000
Payments made		(180,000)	(20,000)
Balances at end of year		P80,000	P260,000

On September 18, 2024, PWSI entered into unsecured 5-year loan with Metro Bank & Trust Co. which shall mature on August 23, 2029, with option to pre-pay, amounting to P280,000 with annual interest rate of 5.5%. Proceeds of the loan was used to fund additional investments to Pernod and for working capital requirements. The loan has no required financial and non-financial covenants that needs to be complied with.

Interest expense recognized in profit or loss amounted to P6,882 and nil for the nine-month period ended September 30, 2025 and 2024, respectively (see Note 19).

14. Related Party Transactions

Transactions for the nine-month periods ended September 30, 2025 and 2024 and account balances with related parties as at September 30, 2025 and December 31, 2024 are as follows:

Category/Transaction	Note	Year	Transactions During the Period	Outstanding Balance		Terms	Conditions
				Receivable	Payable		
Stockholders							
Dividends	16	2025	P1,350,000	P -	P 783	Due and demandable	Unsecured
		2024	P 1,125,000	-	532		
Entities under Common Control							
Sales of good	6, a	2025	2,936,167	765,712	-	30 days credit term; non-interest bearing	Unsecured; no impairment
		2024	2,610,997	783,100	-		
Lease expense	19, b	2025	49,761	-	155,832	Payable on a monthly basis	Unsecured
		2024	40,426	-	44,449		
Rent expense	12, c	2025	8,336	-	122	Payable on a monthly basis	
		2024	10,170	-	7,879		
Purchases of goods and services	12, d	2025	147,176	-	38,178	Due and demandable; non-interest bearing	
		2024	71,096	-	48,052		
Reimbursement of expenses	6, 12, e	2025	15,871	1,568	1,568	Payable on demand; non-interest-bearing	Unsecured; no impairment
		2024	3,118	2,872	4,503		
Joint Venture							
Purchases of goods and services	12, d	2025	4,928,990	-	2,580,264	30 days credit term; non-interest bearing	
		2024	5,393,276	-	1,381,093		
Dividends	11	2025	178,929	183,789	-	Due and demandable	Unsecured; no impairment
		2024	-	181,410	-		
Investment	10, f	2025	40,000	-	-	Due and demandable	Unsecured; no impairment
		2024	-	-	-		
		2025	P9,655,230	P951,069	P2,776,747		
		2024	P9,254,083	P967,382	P1,486,508		

- a. The Group distributes wines and liquors to entities under common control.
- b. The Group entered into lease agreements with entities under common control for its office spaces and warehouses. Lease expenses include amortization expenses on right-of-use assets and interest expense on lease liabilities (see Note 19).
- c. The Group entered into agreement with entities under common control for additional warehouses on a short-term period not exceeding one year. The agreement is subject to renewal as needed.
- d. The Group purchased inventorable items and goods and availed services from entities under common control amounting to P147,176 and P71,096 for the nine-month periods ended September 30, 2025 and 2024, respectively. The Group also purchased inventorable items from its investment in joint venture amounting to P4,928,990 and P5,393,276 for the nine-month periods ended September 30, 2025 and 2024, respectively.
- e. This represents advances to and from related parties as at September 30, 2025 and December 31, 2024 in the form of reimbursement of expenses.
- f. The amount refers to the purchase price of the 50% subscribed and outstanding capital stock of Cervia Global Trading, Inc. (see Note 10).

Amounts owed by and owed to related parties are to be settled in cash.

The Parent Company requires approval of the BOD for related party transactions amounting to at least ten percent (10%) of the total consolidated assets, based on its latest audited financial statements.

Key Management Personnel

The compensation of the key management personnel of the Group, by benefit type, are as follows:

	September 30, 2025	September 30, 2024
Short-term employee benefits	P17,280	P15,021
Retirement benefit costs	320	226
	P17,600	P15,247

15. Equity

Capital Stock

As at September 30, 2025 and December 31, 2024, the Parent Company's capital stock, at P0.10 par value per share consists of the following number of shares:

	Shares	Amount
Authorized P0.10 par value	20,000,000,000	P2,000,000
Issued and outstanding, as previously reported -		
P0.023 par value	1,124,999,969	P25,875
Share swap transaction - P0.10 par value	11,250,000,000	1,125,000
Effect of changes in par value	(866,249,656)	-
Issuance of shares (FOO)	3,000,000,000	300,000
Issued and outstanding, as restated - P0.10 par value	14,508,750,313	P1,450,875

Common shares carry one vote per share and a right to dividends.

Presented below is the tracking of the Parent Company's registration:

Date	Activity	Issue Price	Number of Shares
			Common Shares
September 3, 1991	Issuance of capital stocks as of listing date	P2.85	1,124,999,969
June 30, 2021*	Effect of reduction in par value	-	(866,249,656)
June 30, 2021	Issuance of capital stocks via shares swap	P2.00	11,250,000,000
November 19, 2021	Issuance of capital stocks - FOO	P1.50	3,000,000,000
Total outstanding shares as at September 30, 2025			14,508,750,313

*Share swap transaction (see Note 4)

As at September 30, 2025 and December 31, 2024, the Parent Company has a total of 482 common stockholders owning listed shares.

Additional Paid-in Capital

Additional paid-in capital arising from the share swap transaction and issuance of common shares in 2021 amounted to P21,375,000 and P4,200,000, respectively. Related transaction costs paid and incurred in 2021 amounting to P173,333 was deducted against additional paid-in capital. The Parent Company's additional paid-in capital as at September 30, 2025 and December 31, 2024 amounted to P25,447,900.

Retained Earnings

Declaration of Dividends

On April 11, 2025, the Group's BOD approved the declaration of cash dividends approximately P0.12 per share or an aggregate amount of P1,741,050 for stockholders of record as of May 6, 2025. P1,740,799 were paid on May 30, 2025 while P251 are still unpaid as at September 30, 2025.

On May 13, 2024, the Group's BOD approved the declaration of cash dividend equivalent to P0.10 per share or an aggregate amount of P1,450,875. P1,450,343 were paid on June 20, 2024 while P532 remain payable as at September 30, 2025.

On December 11, 2023, the Group's BOD approved the declaration of cash dividend equivalent to P0.077 per share or an aggregate amount of P1,117,174. These dividends were paid on January 18, 2024.

16. Cost of Goods Sold

This account for the nine-month period ended September 30, 2025 and 2024 consists of:

	Note	2025	2024
Inventories at beginning of nine-month period		P5,876,751	P7,658,757
Net purchases		9,049,144	9,085,490
Total goods available for sale		14,925,895	16,744,247
Inventories at end of nine-month period:			
On-hand		(3,531,703)	(7,266,459)
In-transit		(1,673,253)	(1,069,721)
		(5,204,956)	(8,336,180)
	7	P9,720,939	P8,408,067

17. Operating Expenses

This account for the nine-month period ended September 30, 2025 and 2024 consists of:

	<i>Note</i>	2025	2024
Advertisement		P338,601	P296,633
Distribution costs		288,467	269,955
Salaries and other employee benefits	20	125,583	115,272
Taxes and licenses		118,105	43,782
Depreciation and amortization	9, 19	62,291	57,251
Outside services		45,647	41,014
Transportation and travel		23,203	15,904
Rent		10,979	21,450
Insurance		10,090	17,300
Legal and professional fees		9,112	3,541
Utilities and communication		2,884	2,706
Representation and entertainment		555	587
Miscellaneous		9,389	10,144
		P1,044,906	P900,353

18. Other Income

This account for the nine-month periods ended September 30, 2025 and 2024 consists of:

	<i>Note</i>	2025	2024
Interest income	5	P175,117	P72,155
Foreign exchange losses - net		(102,768)	3,087
Interest expense	13, 19	(16,729)	(3,022)
Bank charges		(673)	(850)
Others		-	4
		P54,947	P71,374

19. Lease Agreements

The Group entered into lease agreements with entities under common control for its office space and warehouses except FDI in which it entered into lease agreements with third parties for its warehouse in Cebu. These leases have terms ranging from two (2) years to five (5) years, renewable under terms and condition agreed upon by both parties.

The lease payments provide for, among others, security deposits amounting to and P19,535 and P19,611 as at September 30, 2025 and December 31, 2024, which are shown under "Other noncurrent assets" account in the consolidated statements of financial position (see Note 11).

The movements and balances of the right-of-use assets and lease liabilities are as follows:

i. Right-of-Use Assets

	Note	September 30, 2025	December 31, 2024
Balance at beginning of period		P44,723	P65,787
Additions		251,974	39,340
Amortization charge for the period	17	(51,577)	(60,404)
Balance at end of period		P245,120	P44,723

ii. Lease Liabilities

	Note	September 30, 2025	December 31, 2024
Balance at beginning of period		P50,554	P75,281
Additions		251,974	39,340
Interest charge for the period	18	9,847	3,882
Payments made		(59,073)	(67,949)
Balance at end of period	23	P253,302	P50,554

As at September 30, 2025 and December 31, 2024, the Group's lease liabilities are classified in the consolidated statements of financial position as follows:

	September 30, 2025	December 31, 2024
Current	P60,146	P30,961
Noncurrent	193,156	19,593
	P253,302	P50,554

Maturity analyses of the undiscounted lease liabilities as at September 30, 2025 and December 31, 2024 are as follows:

	Undiscounted Lease Payments	Interest	Present Value of Lease Liabilities
Not later than one year	P73,745	P13,599	P60,146
Later than one year but not later than five years	213,973	20,817	193,156
Balances at September 30, 2025	P287,718	P34,416	P253,302

	Undiscounted Lease Payments	Interest	Present Value of Lease Liabilities
Not later than one year	P32,678	P1,716	P30,962
Later than one year but not later than five years	20,367	775	19,592
Balances at December 31, 2024	P53,045	P2,491	P50,554

- iii. Amounts recognized in profit or loss for the nine-month period ended September 30:

	Note	2025	2024
Amortization expense	17	P51,577	P 44,924
Interest on lease liabilities	18	9,847	3,022
		P61,424	P 47,946

- iv. Amounts recognized in the consolidated statements of cash flows for the nine-month period ended September 30:

	2025	2024
Total cash outflow for leases	P49,226	P 49,437

20. Retirement Benefits Liability

The Group has an unfunded, noncontributory, defined benefits retirement plan covering all of its regular, full-time employees. Under the plan, the employees are entitled to retirement benefits equivalent to an amount computed based on Republic Act No. 7641, Retirement Pay Law, equivalent to one-half month's salary for every year of service, with six months or more of service considered as one year.

The succeeding table summarizes the components of the retirement benefits cost under a defined benefits retirement plan recognized in profit or loss and the amount of retirement benefits liability recognized in the consolidated statements of financial position. Annual cost is determined using the projected unit credit method. The Group's latest actuarial valuation date is December 31, 2024.

The table below shows the present value of the defined benefits retirement obligation or the retirement benefits liability and its components as at September 30, 2025 and December 31, 2024:

	2025	2024
Balance at beginning of year	P30,183	P25,247
Recognized in Profit or Loss		
Current service cost	3,299	2,814
Interest cost	-	1,540
	3,298	4,354
Recognized in Other Comprehensive Income (Loss)		
Actuarial loss (gain) arising from:		
Change in demographic assumptions	-	(634)
Change in financial assumptions	-	6
Experience adjustments	-	1,577
	-	949
Benefits paid	-	(367)
Balance at end of year	P33,482	P30,183

The retirement benefits cost is recognized as part of "Salaries and other employee benefits" account under operating expenses in profit or loss.

There are no unusual or significant risks to which the retirement benefits liability exposes the Group. However, it should be noted that in the event a benefit claim arises under the retirement benefits liability, the benefit shall immediately be due and payable from the Group.

As at September 30, 2025 and December 31, 2024, accumulated remeasurement gain (loss) on retirement benefits amounted to (P528), as presented in the consolidated statements of financial position.

21. Income Taxes

The provision for income tax for the nine-month period ended September 30, 2025 and 2024 consists of:

	2025	2024
Current	P527,466	P484,647
Deferred	41	(583)
	P527,507	P484,064

The Group's provision for current income tax represents regular corporate income tax (RCIT) in all years presented.

For the nine-month period ended September 30, 2025 and 2024, MI elected to avail OSD in its determination of allowable deductions for income tax purposes which is equivalent to 40% of total gross income. MI intends to continue its availment of OSD in the subsequent periods.

The reconciliation of the provision for income tax computed at the statutory income tax rate and the provision for income tax shown in profit or loss for the nine-month period ended September 30, 2025 and 2024 are as follows:

	2025	2024
Income before income tax	2,956,630	P 2,653,728
Provision for income tax at the statutory income tax rate of 25% (20% for FDI in 2025 and UDC in 2024 and 2025)	P739,145	P 663,432
Additions to (reductions from) income taxes resulting to the tax effects of:		
Availment of optional standard deduction	(141,057)	(119,419)
Share in net income of a joint venture and associate	(70,137)	(46,420)
Interest income subjected to final tax	(43,760)	(18,035)
Change in unrecognized deferred income tax asset	18,217	721
Non-deductible expenses	18,010	3,785
Applied NOLCO	7,089	-
Provision for income tax	P527,507	P484,064

The components of the Group's net deferred income tax assets as at September 30, 2025 and December 31, 2024 are as follows:

	September 30, 2025	December 31, 2024
Retirement benefits liability	5,775	P5,190
PFRS 16, <i>Leases</i> adjustment	328	1,209
Allowance for expected credit losses on trade receivables	655	655
Unrealized foreign exchange gains - net	(395)	(650)
	6,363	P6,404

TKHI

As at September 30, 2025 and December 31, 2024, TKHI has carryforward benefits of unused NOLCO amounting to P70,447 and P42,088, respectively, for which no deferred income tax asset was recognized. Management believes that it is not probable that future taxable profits will be available to allow all or part of its deferred income tax asset to be utilized prior to its expiration.

Details of TKHI's NOLCO for the taxable period September 30, 2025 are as follows:

Years Incurred	Amount	Applied Previous Year	Applied Current Year	Expired	Ending Balance	Expiry Date
2021	P55,336	(P41,988)	P-	P-	P13,348	2026*
2022	12,366	-	-	-	12,366	2025
2023	-	-	-	-	-	2026
2024	16,374	-	-	-	16,374	2027
2025	28,359	-	-	-	28,359	2028
	P112,435	(P41,988)	P -	P -	P70,447	

**Pursuant to Section 4 of Republic Act (RA) 11494, Bayanihan to Recover As One Act and as implemented under Revenue Regulations (RR) No. 25-2020, unless otherwise disqualified from claiming the deduction, the business or enterprise which incurred net operating loss for taxable years 2020 and 2021 shall be allowed to carry over the same as a deduction from its gross income for the next five (5) consecutive taxable years immediately following the year of such loss. The net operating loss for said taxable years may be carried over as a deduction even after the expiration of RA No. 11494 provided the same are claimed within the next five (5) consecutive taxable years immediately following the year of such loss.*

FDI

As at September 30, 2025 and December 31, 2024, FDI has carryforward benefits of unused NOLCO amounting to P10,504 and P7,845, respectively, for which no deferred income tax asset was recognized.

Details of the FDI's NOLCO for the taxable year 2025 are as follows:

Years Incurred	Amount	Applied Previous Year	Applied Current Year	Expired	Ending Balance	Expiry Date
2023	P4,184	P -	P -	P -	P4,184	2026
2024	3,661	-	-	-	3,661	2027
2025	2,659	-	-	-	2,659	2028
	P10,504	P -	P -	P -	P10,504	

MI

The following table shows the amounts of temporary differences for which no deferred income tax asset was recognized because MI believes that it is not probable that the tax benefits of these temporary differences will be availed of as MI intends to continue its availment of the optional standard deduction in the subsequent years:

	September 30, 2025	December 31, 2024
Unrealized foreign exchange losses (gains) - net	41,356	(P36,296)
Retirement benefits liability	10,381	9,422
PFRS16, Leases adjustment	6,446	633
	P58,183	(P26,241)

UDC

As at September 30, 2025 and December 31, 2024, UDC has carryforward benefits of unused NOLCO amounting to nil and P669 for which no deferred income tax asset was recognized.

22. Earnings Per Share

Basic/diluted EPS of the Group is computed as follows:

<i>(In thousands, except per share data)</i>	September 30, 2025	September 30, 2024
Net income (a)	P2,429,123	P 2,169,664
Weighted average number of common shares outstanding for the period* (b)	14,508,750,313	14,508,750,313
Basic EPS (a/b)	P0.17	P0.15

**after share swap transaction and change in par value of common shares*

Weighted average number of common shares in 2025 and 2024 used for the purposes of basic earnings per share were computed as follows:

	2025		
	Number of Common Shares	Proportion to Period	Weighted Average
Outstanding shares at the beginning and end of the period	14,508,750,313	9/9	14,508,750,313

	2024		
	Number of Common Shares	Proportion to Period	Weighted Average
Outstanding shares at the beginning and end of the period	14,508,750,313	9/9	14,508,750,313

The Group has no potential dilutive instruments as at September 30, 2025 and 2024. Hence, diluted EPS is the same as the basic EPS.

23. Financial Risk and Capital Management Objectives and Policies

Objectives and Policies

The Group's BOD has overall responsibility for the establishment and oversight of the Group's risk management framework. The BOD has delegated to the management the responsibility of developing and monitoring the Group's risk management policies.

The Group's risk management policies are established to identify and analyze the risks faced by the Group, to set appropriate risk limits and controls, and to monitor risks and adherence to limits. Risk management policies and systems are reviewed regularly to reflect changes in market conditions and the Group's activities. The Group, through its training and management standards and procedures, aims to develop a disciplined and constructive control environment, in which all employees understand their roles and obligations.

The BOD oversees how management monitors compliance with the Group's risk management policies and procedures and reviews the adequacy of the risk management framework in relation to the risks faced by the Group.

The Group has exposure to the following risks from its use of financial instruments:

- Credit risk
- Liquidity risk
- Market risk

This note presents information about the Group's exposure to each of the above risks, the Group's objectives, policies and processes for measuring and managing risks, and the Group's management of capital.

The Group's overall risk management program seeks to minimize potential adverse effects on the financial performance of the Group. There were no changes in the exposures to each of the above risks and to the Group's objectives, policies and processes for measuring and managing the risk from the previous period. The policies for managing specific risks are summarized below:

Credit Risk

Credit risk represents the risk of loss the Group would incur if credit customers and counterparties fail to perform their contractual obligations. The Group's credit risk arises from the Group's use of its financial assets. Credit risk management involves entering into financial transactions only with counterparties with acceptable credit rating.

The carrying amount of financial assets represents the maximum credit exposure to credit risk as at September 30, 2025 and December 31, 2024 as follows:

	Note	September 30, 2025	December 31, 2024
Cash in banks	4	P1,339,561	P1,620,841
Cash equivalents	4	5,216,436	3,280,099
Trade and other receivables	6	1,853,903	2,849,451
Refundable deposits	11	19,435	19,611
		P8,429,335	P7,770,002

The Group's policy is to enter into transactions with a diversity of credit worthy parties to mitigate any significant concentration of credit risk. There is no significant concentration of credit risk within the Group.

As at September 30, 2025 and December 31, 2024, the Group does not expect any counterparty, other than trade customers, to fail in meeting its obligations, thus, related risk is deemed to be insignificant. On the other hand, the Group believes that no impairment loss is necessary in respect of other financial assets since they are neither past due nor impaired.

Credit Quality

In monitoring and controlling credit extended to counterparty, the Group adopts a comprehensive credit rating system based on financial and non-financial assessments of its customers. Financial factors being considered comprised of the financial standing of the customer while the non-financial aspects include but are not limited to the assessment of the customer's nature of business, management profile, industry background, payment habit and both present and potential business dealings with the Group.

The Group assessed the credit quality of the following financial assets as follows:

- a. Cash in banks and cash equivalents were assessed as high grade since these are deposited in reputable banks with a good credit standing, which have a low profitability of insolvency and can be withdrawn anytime. The credit quality of these financial assets is considered to be high grade.
- b. Trade and other receivables were assessed as standard grade since these include receivables that are collected on their due dates even without an effort from the Group to follow them up.
- c. Refundable deposits were assessed as high grade since these security deposits are refundable at the end of the lease term which is expected from a reputable service provider.

ECL Assessment

The Group allocates each exposure to a credit risk on data that are determined to be predictive of the risk of loss (including but not limited to external ratings, audited financial assets, management accounts and cash flow projections and available press information about customers) and applying expected credit judgment. Credit risk grades are defined using qualitative and quantitative factors that are indicative of the risk of default.

In measuring the expected credit losses, the trade and other receivables have been assessed on a collective basis as they pose shared credit risk characteristics. They have been grouped based on the days past due.

The following table provides information about the exposure to credit risk for trade and other receivables as at September 30, 2025 and December 31, 2024:

	September 30, 2025		
	Gross Carrying Amount	Impairment Loss Allowance	Credit-impaired
Current (not past due)	1,304,832	-	No
1 - 30 days past due	310,206	-	No
31 - 120 days past due	212,319	-	No
More than 120 days past due	29,166	(2,621)	Yes
Balance at September 30, 2025	1,856,524	(2,621)	

	December 31, 2024		
	Gross Carrying Amount	Impairment Loss Allowance	Credit-impaired
Current (not past due)	P2,198,898	P -	No
1 - 30 days past due	579,931	-	No
31 - 120 days past due	64,796	-	No
More than 120 days past due	8,447	2,621	Yes
Balance at December 31, 2024	P2,852,072	P2,621	

The Group applies the simplified approach in providing for expected credit losses prescribed by PFRS 9, which permits the use of the lifetime expected loss provision and applies a provision matrix.

The maturity of the Group's receivables is less than one year so the lifetime expected credit losses and the 12-month expected credit losses are similar.

Exposures within each credit risk grade are assessed based on delinquency and actual credit loss experience. The Group considered both historical loss rate and forward-looking assumption. The Group assessed that the impact of forward-looking assumption is immaterial.

The maturity of the Group's receivables is less than one year so the lifetime expected credit losses and the 12-month expected credit losses are similar.

The allowance for impairment in respect of trade and other receivables of the Group as a result of the expected credit loss assessment amounted to P2,621 as at September 30, 2025 and December 31, 2024.

Exposures within each credit risk grade are assessed based on delinquency and actual credit loss experience. The Group considered both historical loss rate and forward-looking assumptions. The Group assessed that the impact of forward-looking assumption is immaterial.

Cash in banks and cash equivalents are considered of good quality as these pertain to deposits in reputable banks. Impairment on cash has been measured on a 12-month expected loss basis and reflects the short maturities of the exposures. The Group considers that its cash has low credit risk based on the external credit ratings of the counter parties.

The credit risk for security deposit is assessed to have not increased significantly since initial recognition as the counterparties have strong financial position and there are no past due amounts. The Group uses similar approach for assessment of ECLs for security deposit to those used for cash in banks. The Group has assessed that the impact of providing ECL for security deposit is immaterial, thus did not recognize loss allowance.

Liquidity Risk

Liquidity risk is the risk that the Group will not be able to meet its financial obligations as they fall due. The Group manages liquidity risk by maintaining a balance between continuity of funding and flexibility in operations. Treasury controls and procedures are in place to ensure that sufficient cash is maintained to cover daily operational and working capital requirements, as well as capital expenditures and loan payments. Management closely monitors the Group's future and contingent obligations and sets up required cash reserves as necessary in accordance with internal requirements.

The following are the contractual maturities of financial liabilities as at September 30, 2025 and December 31, 2024:

	September 30, 2025			
	Carrying Amount	Contractual Cash Flows	1 Year or Less	More than 1 Year
Financial Liabilities				
Trade and other payables*	3,346,311	3,346,311	3,346,311	-
Dividends payable	783	783	783	-
Lease liabilities	253,302	287,718	73,745	213,973
Total	3,600,396	3,634,812	3,420,839	213,973

*Excluding statutory obligations amounting to P144,479

	December 31, 2024			
	Carrying Amount	Contractual Cash Flows	1 Year or Less	More than 1 Year
Financial Liabilities				
Trade and other payables*	P2,143,253	P2,143,253	P2,143,253	P -
Dividends payable	532	532	532	-
Lease liabilities	50,554	53,045	32,678	20,367
Total	P2,194,339	P2,196,830	P2,176,463	P20,367

*Excluding statutory obligations amounting to P440,590.

It is not expected that the cash flows included in the maturity analysis could occur significantly earlier, or at significantly different amounts.

Market Risk

Market risk is the risk that changes in market prices, such as foreign exchange rates, interest rates and other market prices will affect the Group's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return. The Group is subject to various risks, including foreign currency risk and interest rate risk.

Interest Rate Risk

Interest rate risks is the risk that future cash flows from a financial instrument (cash flow interest rate risk) or its fair value (fair value interest rate risk) will fluctuate because of changes in market interest rates.

Accordingly, management believes that the Group does not have significant interest rate risk.

Foreign Currency Exchange Risk

Foreign currency exchange risk is the risk that the fair value or future cash flows of a financial instrument will fluctuate because of changes in foreign exchange rates. The Group's exposure to foreign currency risk relates primarily to the Group's foreign currency-denominated monetary assets and monetary liabilities.

The currencies in which these transactions are primarily denominated are in United States dollar (USD), Singaporean dollar (SGD), Euro (EUR), Australian Dollar (AUD) and British pound (GBP).

The following table shows the Group's foreign currency-denominated monetary assets and monetary liabilities and their Philippine peso (PHP) equivalents as at September 30, 2025 and December 31, 2024:

	September 30, 2025					PHP Equivalent
	USD	SGD	EUR	AUD	GBP	
Foreign currency - denominated monetary assets:						
Cash	5,400	-	1,270	-	-	399,503
Trade and other receivables	1,548	-	3,066	68	0.6	300,081
Foreign currency - denominated monetary liabilities:						
Trade payables	1,131	(5)	(37,567)	53	43	(2,487,805)
Net foreign currency - denominated monetary liabilities	8,079	(5)	(33,321)	121	43.6	(1,788,221)

	December 31, 2024					PHP Equivalent
	USD	SGD	EUR	AUD	GBP	
Foreign currency - denominated monetary assets:						
Cash	4,058	-	2,971	-	-	415,043
Trade and other receivables	1,176	-	3,161	55	9	262,054
	5,234	-	6,132	55	9	677,097
Foreign currency - denominated monetary liabilities:						
Trade payables	(378)	(5)	(24,322)	(247)	(61)	(1,506,347)
Net foreign currency - denominated monetary liabilities	4,856	(5)	(18,190)	(192)	(52)	(829,250)

Capital Risk Management

The primary objective of the Group's capital management is to ensure that it maintains a strong credit rating and healthy capital ratios in order to support its businesses and maximize shareholder value.

The Group manages its capital structure and makes adjustments, in the light of changes in economic conditions. To maintain or adjust the capital structure, the Group may pay-off existing debts, return capital to stockholders or issue new shares.

The Group defines capital as paid-in capital stock and retained earnings.

There were no changes in the Group's approach to capital management during the year.

The Chief Financial Officer has the overall responsibility for monitoring of capital in proportion to risk. Profiles for capital ratios are set in the light of changes in the Group's external environment and the risks underlying the Group's business operations and industry.

The Group's BODs review the capital structure of the Group on an annual basis. As part of this review, the BODs consider the cost of capital and the risks associated with each class of capital.

The debt-to-equity ratio at the end of reporting periods is as follows:

	September 30, 2025	December 31, 2024
Debt	P4,141,540	P3,339,315
Equity	18,138,455	17,403,255
Debt to equity ratio	0.23:1	0.19:1

The Group is not subject to externally imposed capital requirements.